

UNGA GROUP LIMITED

Incorporated in Kenya under the Companies Act (chapter 486 of the Laws of Kenya)
(Registration Number C.11/56)

Circular to Shareholders

Proposed acquisition of a New Subsidiary

Ennsvalley Bakery Limited

This Circular is issued by Unga Group Limited for the purpose of providing information to shareholders in connection with the resolution to be proposed at the **Annual General Meeting ("AGM") to be held at Kenyatta International Conference Centre, Nairobi at 10:30 a.m. on 2nd December 2014** to approve the indirect acquisition of a new subsidiary of the Company, Ennsvalley Bakery Limited as required under the provision of paragraph G.06(a) of the Fifth Schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002.

The Capital Markets Authority has approved this Circular. As a matter of policy, the Capital Markets Authority does not assume any responsibility for the correctness of any statements or opinions made or reports contained in this Circular.

If you have disposed of all your shares in Unga Group Limited (the "**Company**"), please forward this document to the stockbroker, banker or other agent through whom you disposed of your shares.

Dated 6th November 2014.

Key Dates

AGM

2nd December 2014

Completion of Acquisition

Subject to approval of CAK

Press Announcement

Immediately after Completion of Acquisition

Independent Financial Advisor

Kestrel Capital (East Africa) Limited
5th Floor, ICEA building
Kenyatta Avenue
P.O. Box 40005-00100
Nairobi

KESTREL CAPITAL (EAST AFRICA) LTD.



Legal Advisor

Kaplan & Stratton, Advocates
9th Floor, Williamson House
4th Ngong Avenue
P.O. Box 40111-00100
Nairobi



Definitions

The following definitions apply throughout this Circular, unless the context requires otherwise:

"Acquisition"	the proposed acquisition of 52% of the issued share capital of Ennsvalley by UHL as described in this document
"AGM"	Annual General Meeting of the Company to be held on 2 nd December 2014
"CAK"	the Competition Authority of Kenya, established under the Competition Act (chapter 504 of the Laws of Kenya)
"Company"	Unga Group Limited, a public limited liability company (incorporated in Kenya under registration number C.11/56), listed on the NSE
"Directors" or "Board"	the Directors of the Company
"Ennsvalley"	Ennsvalley Bakery Limited, a private limited liability company (incorporated in Kenya under registration number C.91014)
"Group"	Unga Group Limited and its subsidiaries
"K&S"	Kaplan & Stratton, Advocates
"KES"	Kenya Shillings
"Kestrel"	Kestrel Capital (East Africa) Limited
"NASHL"	NAS Holdings Limited, a private limited liability company (incorporated in Kenya under registration number C.18618)
"UHL"	Unga Holdings Limited, a private limited liability company (incorporated in Kenya under registration number C.87892), a 65% subsidiary of the Company
"Victus"	Victus Limited, a private limited liability company (incorporated in Kenya under registration number C.42694)

Letter from the Chairperson of Unga Group Limited

To: All shareholders of Unga Group Limited

6th November 2014

Dear Shareholder,

Proposed Acquisition of Shares in Ennsvalley Bakery Limited

The purpose of this Circular is to provide you with information on the reasons for, and the terms of, the Acquisition.

Background to and Reasons for the Acquisition

The landscape in which the Company operates is changing rapidly driven by increasing disposable incomes, rapid urbanisation and a growing middle class and these changes have created new consumers who are demanding value added products from producers. In recognition of the changing market environment, the Company recently reviewed its long term strategy and made the decision to shift from being just a miller of wheat and maize grains and to become a significant player in the wider food industry - specifically to be a provider of nutritious food. The shift in strategy would enable the Company to improve its gross margins that have been dwindling over the years due to a fiercely competitive milling industry, and enable it to invest further in modern equipment and improve its route-to-consumer logistics with value added products from its base of wheat and maize products.

The Company considered bakery products as an important entry point into the wider food segment in line with its new strategy and proceeded to scan the industry for possible acquisition. Ennsvalley, a company that produces high quality branded products was seen as a good fit and identified as a potential acquisition target for a number of reasons. First, Ennsvalley has emerged as a key player in the high quality segment and enjoys excellent consumer recognition and acceptance in the rapidly growing modern trade segment. It is in partnership with Nakumatt Holdings Limited to manage and grow a number of in-store bakeries - a fast growing trend for consumers who want freshly baked products. Secondly, the Company already sells baking flour to Ennsvalley.

The Company, based on the above, believes that the acquisition of Ennsvalley would provide it with the earliest opportunity to begin implementing its recently adopted new strategy and put it on a strong and profitable growth trajectory. This acquisition will further provide the Company with improved financial and human resources required for its investment plans to expand its footprint into the East African regional markets. Further information on Ennsvalley, its business and its current management is set out in Schedule 1 to this Circular.

The Principal Terms of the Acquisition

UHL is proposing to enter into an agreement with NASHL under which it is proposed that UHL will acquire 52% of the issued share capital of Ennsvalley and UHL and NASHL will jointly finance the capital expansion of Ennsvalley.

Ennsvalley has been valued at KES 500,000,000. The capital expansion is estimated at KES 750,000,000. The total investment by UHL will amount to approximately KES 705,000,000 of which KES 542,000,000 will be attributable to the acquisition of shares and the balance will constitute a loan by UHL to Ennsvalley for the purposes of its bakery expansion. NASHL is providing matching 48% loan finance for the purposes of the capital expansion. The shareholder loans provided by UHL and NASHL to Ennsvalley will be repayable over a period of up to 5 years and bear interest at a rate of 15% (revisable). The funds for the investment will come from the proceeds of sale of the shares in Bullpak Limited which was approved at the last Annual General Meeting (approximately KES. 335,000,000), loans to UHL from its shareholders in proportion to their shareholding and internal cash flow.

The Acquisition is conditional, amongst other things, on the obtaining of approvals from the shareholders of the Company and the CAK.

Capital Structure and Relationship between parties involved

UHL is a 65% subsidiary of Unga Group Limited and 35% owned by Seaboard Corporation. Ennsvalley is a wholly owned subsidiary of NASHL. There are no direct common shareholdings between UHL and NASHL.

Upon acquisition, NASHL will own 48% of Ennsvalley while UHL will own 52% thereof.

Possible Introduction of Strategic Investor

The Board is considering the sale of a minority interest in Ennsvalley to a strategic investor following the completion of the Acquisition.

Basis of the Determination of the Value of Ennsvalley

It has been agreed between UHL and NASHL that the existing value of Ennsvalley is KES 500,000,000.

An independent review of this value has been carried out by Kestrel which has issued a fairness opinion confirming that, in its view, KES 500,000,000 represents a fair value for Ennsvalley. A copy of the Kestrel fair value opinion is attached to this Circular.

Majority Shareholder Voting Intentions and Common Directors

Victus owns approximately 50.93% of the share capital of the Company. Victus has confirmed its intention to vote in favour of the resolutions to be proposed at the AGM.

Mr. Andrew Ndegwa is a director of both NASHL and the Company and is an indirect shareholder in both companies. He has declared his interest in the proposed transaction and has not voted as a Director with regard to the proposed Acquisition.

Mr. Alan McKittrick is a director of both NASHL, Ennsvalley and the Company and holds shares in the Company. He has declared his interest in the proposed transaction and has not voted as a Director with regard to the proposed Acquisition.

Effect of the Acquisition on Existing Shareholders

Following the Acquisition, Ennsvalley will become an indirect subsidiary of the Company. Consequently, at each reporting date following completion of the Acquisition, the Company will prepare consolidated financial statements that will combine the financial statements of the Company and its subsidiaries (including Ennsvalley) line by line by adding together like items of assets, liabilities, equity, income and expenses such that the consolidated financial statements present financial information about the Group as that of a single economic entity, including the interests of minority shareholders in the Group. These consolidated financial statements will reflect the anticipated positive financial impact of the Acquisition on the Company shareholders including:

- ☐ the Company's business will be more diversified;
- ☐ an increase in the Group's asset base since the reported Group consolidated net assets will increase by approximately 3% reflecting the acquired tangible and intangible assets; and
- ☐ reported Group consolidated earnings will include Ennsvalley's earnings less any additional amortisation charges relating to the intangible assets acquired.

Approvals for the Acquisition

An application for approval of the Transaction will be made to the CAK under the Competition Act.

As required by law, shareholders of the Company must be given the opportunity to consider and, if thought fit, to approve the Acquisition of Ennsvalley as a new subsidiary of the Company.

Risks Relating to the Acquisition

The Acquisition is only conditional on CAK approval and approval by shareholders of the Company. The Board does not anticipate any transactional risks once these approvals have been obtained.

Additional Information

Additional information and disclosures regarding the Acquisition and the financial impact of the Acquisition are included in Schedules 1 to 2 and the attachment to this Circular. These are as follows:

Schedule 1 - Information on Ennsvalley

Schedule 2 - Additional Disclosures and General Information

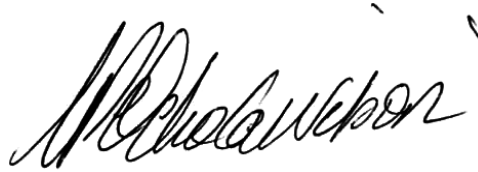
Attachment - The fairness opinion prepared by Kestrel

Recommendation

The Board has considered and believes that the acquisition of Ennsvalley will provide your company with a strong and profitable entry into the wider food sector with value-added products in line with the current strategic objectives. Furthermore, the expected financial and human resources expected to come with this acquisition will allow your company to rapidly expand its footprint into the wider regional markets. Accordingly, the Board of Directors proposes that the shareholders vote in favour of the resolutions that will be proposed at the AGM, as they (the Directors) intend to do in respect of their own respective beneficial holdings of ordinary shares and/or the beneficial shareholdings of the entities they represent on the Board.

If you are in any doubt as to what action to take you may seek independent advice from your stockbroker, bank manager, lawyer or other professional adviser of your choice.

Yours sincerely,

A handwritten signature in black ink, appearing to read 'Mrs. Isabella Ocholla-Wilson', written in a cursive style.

Mrs. Isabella Ocholla-Wilson
Chairperson

Schedule 1 - Information on Ennsvalley

A. Background

3.1 Ennsvalley Bakery Limited

Ennsvalley is a private limited liability company incorporated under the Companies Act on 29th August 2000 under company number C.91014.

The authorised share capital of Ennsvalley is KES 100,000 divided into 5,000 shares of KES each, all of which have been issued. The current shareholders are as follows:

Shareholder	Number of shares
NASHL	4,999
Alan McKittrick (as nominee for NASHL)	1
Total	5,000

3.2 History and Business of Ennsvalley

Ennsvalley Bakery Limited was incorporated in Kenya in February 1996 and opened its doors to the public at the Karen shopping centre, Nairobi on 16th June 1996. The bakery expanded rapidly. Four years later, Ennsvalley Bakery moved to larger premises in Westlands where it operated for about a year. At that time NASHL purchased a controlling interest and a further expansion of the production facility necessitated a further move to the Nairobi industrial area.

Ennsvalley Bakery complies with the highest international hygiene and production standards. In the year 2000, the company commenced supplies of a large variety of fancy bread rolls, pastries and desserts to the many airlines catered for through NAS Airport Services Limited.

In 2007 Ennsvalley opened the first five in-store bakeries within the Nakumatt chain of supermarkets under the brand Sprinkles. The in-store bakeries have grown to the current 15 spread between Nairobi and Mombasa. Ennsvalley has broadened its market to include other major chains of supermarkets in Nairobi, the Coast and Western region (Tusky's, Naivas and Uchumi) and restaurants and hotels.

The Company has a total of 300 members of staff.

B. Management of Ennsvalley

Ennsvalley operates a sound system of corporate governance under which the board of directors oversee Ennsvalley's operations on behalf of shareholders, approves policies and procedures and monitors key performance indicators as agreed between the Management and the Board so as to help ensure that the company achieves its strategic objectives. Particulars of the Directors and Company Secretary of Ennsvalley are set out below.

3.3 Board of Directors

Alan McKittrick (Executive Director)

Alan, an engineer by profession, has been Group Managing Director of NASHL for the past 19 years. He holds other directorships and has considerable experience in managing successful businesses in Eastern and Southern Africa.

John B. Marosi (Company Secretary)

John has held a number of senior positions within Kenyan companies before joining the NAS Group, including PricewaterhouseCoopers and Car & General Ltd. He joined NAS in 1994, as Group Internal Auditor, and subsequently took on the additional role of Company Secretary of the various group companies. He has been the Company Secretary for Ennsvalley since the year 2000 and was appointed a Director of the company with effect from August, 2014. John is a qualified Chartered Accountant and Company Secretary.

3.4 Senior Management

Anne Gitau – General Manager

Anne joined Ennsvalley in 2007 as the Retail Manager in charge of the newly acquired in-store bakeries; she was named the General Manager in 2010. She is a highly resourceful management professional who sets the company's vision and mission, oversees strategy development and execution for profitable growth and is responsible for the overall management of the company. Her work experience spans over 20 years in generalist and managerial roles with organisations in the FMCG (Farmers Choice) and IT (Apple Computer) industries.

George Kabue – Finance Manager

George is a certified public accountant with over 12 years financial, administration, management and accounting experience. He possesses a thorough comprehension of budget preparation, cash flow management, risk analysis, taxation, ledger maintenance, payroll management and preparation of financial management reports.

Willem Jongens - Production Manager.

Willem is trained in bread technology and process, fermentation processing and controlling, chocolate processing, food safety and risk management planning and process improvement. He has over 24 years of hands-on experience in baking and bakery management in Holland, the Caribbean and United Arab Emirates.

Pauline Kariuki - Sales & Marketing Manager.

She has over 9 years experience in sales and marketing with emphasis in customer service, sales promotions, branding, market trends analysis, market expansion and growth.

C. Financial Information on Ennsvalley**3.5 Historical Financial Information**

Ennsvalley prepares its financial statements in KES to 31st March each year in accordance with International Financial Reporting Standards. The financial statements for the five financial periods to 31st March 2014 have been subject to audit and have received unqualified audit reports.

The tables that follow set out extracts from Ennsvalley's audited financial statements for the five financial periods to 31st March 2014.

Table 1: Ennsvalley Summarised Statements of Financial Position

	2014	2013	2012	2011	2010
	Shs	Shs	Shs	Shs	Shs
Revenue	737,888,397	619,809,308	518,339,759	401,357,760	376,977,334
Cost of sales	(563,719,577)	(478,404,350)	(277,398,725)	(217,971,838)	(190,056,039)
Gross profit	174,168,820	141,404,958	240,941,034	183,385,922	186,921,295
Other operating income	3,011,150	1,456,746	1,684,676	1,991,204	-
Administrative expenses	(53,303,000)	(47,831,326)	(130,034,521)	(92,780,013)	(79,909,548)
Selling and distribution expenses	(63,754,197)	(45,204,658)	-	-	-
Other operating expenses	(15,249,365)	(12,698,480)	(77,277,670)	(62,733,199)	(45,480,240)
Operating profit	44,873,408	37,127,240	35,313,519	29,863,914	61,531,507
Finance costs	(8,125,000)	(3,448,750)	(3,430,000)	(6,089,738)	(5,542,173)
Profit before tax	36,748,408	33,678,490	31,883,519	23,774,176	55,989,334
Tax	(11,392,018)	(10,621,709)	(9,686,629)	(7,246,405)	(16,798,300)
Profit for the year	25,356,390	23,056,781	22,196,890	16,527,771	39,191,034

Table 2: Ennsvalley Summarised Statements of Comprehensive Income

	2014	2013	2012	2011	2010
	Shs	Shs	Shs	Shs	Shs
Revenue	737,888,397	619,809,308	518,339,759	401,357,760	376,977,334
Total Expenses	701,139,989	586,130,818	486,456,240	377,583,584	320,988,000
Taxation	(11,392,018)	(10,621,709)	(9,686,629)	(7,246,405)	(16,798,300)
Comprehensive Income	25,356,390	23,056,781	22,196,890	16,527,771	39,191,034

Table 3: Ennsvalley Summarised Statements of Cash Flows

	2014	2013	2012	2011	2010
	Shs	Shs	Shs	Shs	Shs
Operating activities					
Cash from operations	20,443,642	40,209,852	52,553,211	45,853,890	49,620,029
Interest paid	(8,125,000)	(3,448,750)	(3,430,000)	(6,089,738)	(5,542,173)
Tax paid	(3,800,000)	(16,428,045)	(5,400,000)	(8,378,583)	(4,070,766)
Net cash from operating activities	8,518,642	20,333,057	43,723,211	31,385,569	40,007,090
Investing activities					
Purchase of plant and equipment	(61,862,333)	(55,625,778)	(19,368,287)	(18,964,064)	(53,351,736)
Proceeds from disposal of plant and equipment	-	(537,572)	-	1,761,061	-
Cash paid for purchase of intangible assets	3,701,400	568,748	(1,803,500)		
Net cash (used in) investing activities	(58,160,933)	(55,594,602)	(21,171,787)	(17,203,003)	(53,351,736)
Financing activities					
Dividends Paid					
Net movement in shareholders loans	(17,000,000)	-	-	-	-
Net cash (used in)/from financing activities	72,500,000	33,500,000	(20,000,000)	(13,777,936)	12,277,936
Increase/(decrease) in cash and cash equivalents	55,500,000	33,500,000	(20,000,000)	(13,777,936)	12,277,936
Movement in cash and cash equivalents					
At start of year	2,049,663	3,811,208	1,259,784	855,154	1,921,864
Increase/(decrease)	5,857,709	(1,761,545)	2,551,424	404,630	(1,066,710)
At end of year	7,907,372	2,049,663	3,811,208	1,259,784	855,154

3.6 Ennsvalley latest financial performance**Profit & Loss Account for the period April to September 2014**

Sales	400,310,518
Cost of Sales	176,597,368
Gross Profit	223,713,150
Gross Profit Margin (%)	56%
Staff Costs	73,900,909
Direct Expenses	71,884,961
Indirect Expenses	62,020,574
Total Expenses	207,806,444
Profit from Operations	15,906,706
Other Income	502,704

Profit Before Tax	16,409,410
Taxation	(4,922,823)
Profit After Tax	11,486,587

3.7 Risks relating to the Operations of Ennsvalley

Whilst Ennsvalley has undoubted credibility in terms of market presence, financial strength and a leading position in the industry in Kenya, it is exposed to risks which, like any other business in Kenya, could have an adverse effect on its operations and hence its financial performance.

Ennsvalley ensures that it does all it reasonably can to eliminate the risks inherent in a business of the kind carried on by Ennsvalley and to mitigate the consequences of any adverse developments. However, as with most businesses, there are a wide range of factors that are outside the control of the company, its directors and managers.

Some of the potential threats that could affect Ennsvalley are as follows:

General

- Political change, diplomatic developments, social and religious instability may adversely affect the economy.
- Adverse developments significantly affecting the economy of Kenya, such as major unexpected currency fluctuations, withdrawal or suspension of bilateral and multilateral aid, significant price inflation, imposition of currency controls or measures to curtail foreign investment.
- Changes in taxation on earnings/revenues and changes in interest rates on borrowings.
- Credit risk arises from cash equivalents and deposits with banks, as well as trade and other receivables. Ennsvalley does not have any significant concentrations of credit risk. The credit controller assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal and external ratings in accordance with limits set by the Board. The utilization of credit limits is regularly monitored.
- Ennsvalley may also be impacted negatively by personnel, financial, technology, or other standard operating procedural problems. While these types of risk are inherent in most large organizations, Ennsvalley has a number of in-house systems designed to monitor operational performance. Amongst other company-wide systems, personnel, including senior management, are regularly reviewed against Ennsvalley's performance standards. Ennsvalley has a financial information system with internal controls designed to assist the financial management team in monitoring and evaluating current as well as projected financial performance. Ennsvalley maintains a rigorous maintenance program for all assets.

Industry specific

- Competition. Ennsvalley's competition in the high value bakery product category are for the most part family businesses with a limited, usually high priced, product portfolio and a reliance on imports.
- Supermarkets. This is a growing category in the region; Ennsvalley is well placed to capitalise on this growth given its strong consumer brands. Additionally, Unga's existing strength in the modern trade channel will facilitate the negotiation of favourable trading and promotional terms. The introduction of an Unga line of branded bakery products, produced by Ennsvalley, will enable revenue and margin growth.
- In-store bakeries. Ennsvalley's in-store bakery contract with Nakumatt is an important part of the business. The combined negotiation and investment leverage of Ennsvalley and the Company will facilitate contract maintenance whilst allowing the development of new business relationships with other important supermarket chains.
- Shopping malls. The insecurity posed by the terrorism threat has affected demand in shopping malls and at the coast. The development of markets in other urban areas and less vulnerable shopping malls nationally will enable Ennsvalley to successfully ride the up's and down's.

Reputational risk

Ennsvalley has a reputational risk in maintaining standards of excellence in a highly competitive industry. The Company will continue to maintain the highest standards of quality and service.

Schedule 2 –General Information

1. Forward Looking Statements

- 1.1 This Circular contains forward-looking statements relating to the business of the Company. These forward-looking statements can be identified by the use of forward-looking terminology such as believes, expects, may, is expected to, will, will continue, should, would be, seeks or anticipates or similar expressions or the negative thereof or other variations thereof or comparable terminology, or by discussions of strategy, plans or intentions.
- 1.2 These statements reflect the current views of the Company with respect to future events and are subject to certain risks, uncertainties and assumptions. Many factors could cause the actual results, performance or achievements of the Company to be materially different from the future results, performance or achievements that may be expressed or implied by such forward-looking statements. Should one or more of these risks or uncertainties materialise, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this Circular as anticipated, believed, estimated or expected.
- 1.3 The Company does not intend, and does not assume any obligation, to update any industry information or forward-looking statements set out in this Circular.

2. Presentation of Financial Information

The financial information in respect of Ennsvalley set out in this Circular has, unless otherwise indicated, been derived from Ennsvalley's audited balance sheets and statements of operations, cash flows and changes in shareholders' equity as of and for the years ended 31st March 2014, 2013, 2012, 2011 and 2010 restated to current accounting policies. Ennsvalley's Annual Financial Statements were prepared on the basis of IFRS and in a manner required by the Companies Act.

3. Consents

Kestrel and K&S have given and not withdrawn their consent to the issue of this Circular with the inclusion of their reports (as applicable) and name and the references thereto, in the form and context in which they appear respectively.

4. Documents Available for Inspection

Copies of the following documents will be available for inspection by shareholders, free of charge, at the Company's offices at Ngano House, Commercial Street, Nairobi between 9.00 a.m. and 5.00 p.m. Monday to Friday (except public holidays) from the date of this Circular until 2nd December 2014:

- (a) Ennsvalley's audited financial statements for the five financial years ended 31st March 2014; and
- (b) the fairness opinion of Kestrel dated 31st October 2014.

5. Responsibility Statement

The Directors of the Company accept responsibility for the information contained herein. To the best of the knowledge and belief of the Directors (who have taken all reasonable care to ensure that such is the case) the information contained in this Circular is in accordance with the facts and does not omit anything likely to affect the import of such information.

INDEPENDENT ADVISOR'S CIRCULAR

Independent Equity Valuation of Ennsvalley Bakery
Limited, for the attention of the Board of Directors
of Unga Group Limited



KESTREL CAPITAL (EAST AFRICA) LTD

31st October 2014

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1. Introduction

1.1 Mandate of the Board of Directors of Unga Group Limited to Kestrel Capital

Kestrel Capital (E.A.) Limited ("Kestrel Capital") received a mandate from the Board of Directors of Unga Group Limited (respectively, the "Board" and "Unga Group") to conduct an independent and objective equity valuation of Ennsvalley Bakery Limited ("Ennsvalley" or the "Company") as a going concern with reference to the proposed acquisition of 52.0% of the issued share capital, by way of subscription for new shares, of Ennsvalley by Unga Holdings Limited (respectively, the "Acquisition" and "Unga Holdings").

This Independent Advisor's Circular ("Circular") has been prepared for the exclusive use of the Board, to assist it (the Board) in taking the decisions for which it alone is responsible and for the sole purpose of providing it with indicators and references to aid in determining the equity value of Ennsvalley, in the framework of completing the Shareholders Circulars required under the Capital Markets (Take-overs and Mergers) Regulations, 2002. Kestrel Capital accepts no responsibility to any person other than the Board of Unga Group in relation to the contents of this Circular, even if it has been disclosed with our consent. Any other use, including the communication or distribution, in whole or in part, of the content of this Circular, must first be authorized by Kestrel Capital in writing, with the exception that this Circular be made available as part of the Shareholders Circular.

The statements and conclusions drawn in the Circular are therefore based on the entirety of the information and valuations contained herein, and no part of it may be used without considering the Circular in its entirety. The valuations are, furthermore, based on the current position and future prospects of the Company on a "standalone" basis, without taking into account potential synergies from the Acquisition.

Kestrel Capital is an independent stockbroker licensed by the Capital Markets Authority ("CMA") and a member of the Nairobi Securities Exchange ("NSE") since 1995. Kestrel Capital's principal business activity is that of a stockbroker and financial advisor. This business entails actively performing valuations on businesses such as Ennsvalley. We hereby confirm that we are eligible to be appointed as Independent Advisor to this Acquisition as per the Capital Markets (Take-overs and Mergers) Regulations, 2002.

Full disclosure of the interests held by Kestrel Capital or any of its employees in Unga Group, Unga Holdings or Ennsvalley is attached in the Appendix. Our fees for this engagement does not involve any contingent element, nor does Kestrel Capital or any of its employees have any material financial interest dependent on the outcome of the Acquisition, other than the fees payable for the valuation services and the interests disclosed in the Appendix.

1.2 The Acquisition

Unga Holdings has proposed a cash offer to acquire 52.0% of the issued share capital, by way of subscription for new shares, of Ennsvalley.

Ennsvalley is unlisted and currently 100.0% owned by NAS Holdings Limited. Unga Group is listed on the NSE and owns 65.0% of Unga Holdings. Unga Holdings is an unlisted subsidiary of Unga Group and is owned by Unga Group (65.0%) and Seaboard Corporation (35.0%).

All the information required under Schedule 4 of the Capital Markets (Take-overs and Mergers) Regulations, 2002, is attached in the Appendix.

1.3 Purpose of the Independent Advisor's Circular

The purpose of this Circular is to provide the Board with elements and references to aid in determining the equity value of Ennsvalley.

The analyses and valuations contained in this Circular have, as a result, the sole scope of identifying an appropriate fair value range for the equity value of Ennsvalley. For this reason, the fair values obtained cannot in any way be considered estimates of economic value or historic, current or prospective market values of Ennsvalley.

This Circular should not, furthermore, be interpreted by the shareholders of Unga Group, as a recommendation in relation to the exercise of their right to vote at any shareholder meeting.

1.4 Definition of Fair Value

Fair value is defined as the price that a willing buyer, with access to all relevant information and acting on an arm's length basis, would be prepared to pay a willing seller of an asset in an open, unrestricted and stable market.

1.5 Documentation and Information Used

For purposes of this Circular, Kestrel Capital has conducted the valuation based on the historical financial statements, financial forecasts, business plans and management discussions. Kestrel Capital also used publicly available information on Ennsvalley and its peer companies to conduct the valuation.

The valuation has internalized the macroeconomic environment and industry dynamics as well as company specific factors. The analyses in the Circular are based on the prevailing economic, financial and market conditions as well as other factors

which existed and were reasonably expected to affect the Company's performance and valuation as at the time of preparation of the Circular.

We have assumed that the underlying information used to carry out our assessment is accurate and complete without having it audited and confirmed by third parties. With respect to the information and data we were provided with, we assumed that they were properly recorded.

In preparing the Circular, Kestrel Capital assumed that:

- ☐ All information, data, statements and reports – of a financial or other nature – provided to, analyzed or discussed with Kestrel Capital are true and complete, with no independent verification being carried out by Kestrel Capital;
- ☐ The financial projections are reasonable and have been formulated on the basis of best estimates and opinions available at the time in relation to the future performance of the Company;
- ☐ No materially relevant information has been omitted or withheld from Kestrel Capital;
- ☐ The valuations of assets and liabilities provided to Kestrel Capital, which has not conducted any valuation or expert analysis of the assets and liabilities of Ennsvalley, are consistent and reasonable.

Kestrel Capital, therefore, assumes no responsibility or liability for the authenticity, completeness or accuracy of the information used, nor provides any guarantee, implicit or explicit, to that effect.

The valuations are based on the economic, regulatory, monetary, market and other conditions in effect as at 31st October 2014, and the information made available to us as of the date hereof. It should be understood that developments subsequent to 31st October 2014 may affect this opinion, which we are under no obligation to update, revise or reaffirm. Furthermore, our opinion does not address any legal, regulatory, taxation or accounting matters.

2. Valuation Approaches

2.1 Scope of Valuation

Valuation Date and Subsequent Events

31st March 2014 has been set as the valuation date, which is the latest financial year end for the Company. No change in the condition of the Company – in terms of earnings, capital structure or of a financial, market or other nature subsequent to the valuation date has been taken into account in preparing this Circular, and the management has advised us that no material events have occurred since the valuation date that were not already reflected in the financial forecasts and would have a material impact on the valuation outcomes. When valuing the equity of Ennsvalley we used the concept of fair value based on going-concern value. Our valuation of Ennsvalley is based on the assumption that the ownership and operational structure of the Company remains unchanged.

Pre-Money Valuation

Our valuation of Ennsvalley is a pre-money valuation. A pre-money valuation is the value of the company prior to any investment or additional financings.

Internal Growth

Our valuation of Ennsvalley is primarily based on the Company's internal or "organic" growth. External growth (i.e. growth via mergers or acquisitions) was not evaluated. The valuations, therefore, do not take into account the potential impact of possible mergers or acquisitions.

Synergy Potential and Strategic Value

The financial projections and valuations adopted a principle of "standalone" perspective, based on the current position and future prospect of the Company on an independent basis, without taking into account any potential synergies deriving from the Acquisition, which may create added value.

2.2 Financial Forecasts

Kestrel Capital has used its own financial and valuation assumptions, as well as the business plans and budgets of Ennsvalley, to develop the financial forecasts and valuation for the Company.

Planning Period and Terminal Value

The calculations are based on the March 2014 to March 2018 period. The free cash flow in 2018, which we regard as normalized with respect to growth, profitability and investment was used to calculate the terminal value at the end of the forecast period.

Plausibility of the Financial Forecasts

In the course of our analyses, we assessed the most important factors influencing the equity value with respect to their plausibility and consistency of the forecasts of Ennsvalley. For this purpose we consulted historic figures, budget figures and business plans. The assumptions of the forecasts were explained to Kestrel Capital and Kestrel Capital made modifications wherever it considered appropriate.

2.3 Valuation Approaches Adopted

Kestrel Capital was able to carry out its valuation based on the historical financial statements, financial forecasts and business plans of Ennsvalley. Based on this work, Kestrel Capital considered the information provided by the Company to be plausible and consistent.

Kestrel Capital determined a fair value for 100% of the issued share capital of Ennsvalley. Fundamental to valuation is the consistency and comparability of the valuation assumptions made in relation to the earnings, capital structure and operational profile of the Company. Consequently, the chosen valuation approaches cannot be analyzed individually, but, rather, should be considered as intrinsic parts of a single valuation process. In light of this and taking into account (i) the purpose of the estimates, (ii) the standard valuation criteria used, and (iii) the particular characteristics of the company, the following principal valuation methods have been adopted:

1. Discounted Cash Flow ("DCF") analysis
2. Comparable Company Market Valuation Multiples
3. Net Asset Valuation

In selecting and applying the above methods, the characteristics and implicit limits of each have been considered with regard to the specific characteristics of the Company.

3. Valuation Methodologies

3.1 Discounted Cash Flow Analysis

The DCF method defines the fair value of equity as the sum of the,

- i. Present value of future levered free cash flows, for a predetermined time horizon, and
- ii. Present value of the terminal value, calculated using a perpetual constant growth rate for levered free cash flows beyond the projected time horizon.

In the DCF method, the present value of the forecasted levered free cash flows from the company's operations is calculated in the first step. To calculate the present value of the levered free cash flows we used the cost of equity as the discount rate. The sum of the levered free cash flows' present values (including the terminal value at the end of the forecast period) is equal to the equity value of the company. Levered free cash flow is the cash available to all of the firm's equity shareholders after considering interest bearing financial obligations.

The equity value is determined by the levered cash flow that the company is expected to generate in the future considering, amongst other factors, its asset base including licenses and patents, investment plans, operating costs, products and market position, market demand, internal organization, capital structure, employees and its management.

Cost of Equity

A firm's cost of equity represents the compensation that the market demands in exchange for bearing the risk of ownership after all debts are repaid.

$$\text{Cost of Equity} = \text{Risk Free Rate} + \text{Equity Risk Premium}$$

Risk Free Interest Rate

The derivation of the risk free interest rate is based on the KES interest rate for a (virtually) risk free investment. In this context we used the yield of benchmark 5-year bonds issued by the Government of Kenya as the risk free rate. Bonds issued by the Kenyan Government with 5-year tenor of maturity offered a yield to maturity of approximately 11.0% as of October 2014.

Equity Risk Premium

Since investors take on additional risk when investing in the equity of a company, an equity risk premium on top of a risk free rate is necessary. In determining an appropriate equity risk premium and expected return on equity, we reviewed and considered various academic studies, the equity risk premium for the Kenyan stock market and other market factors, to deduce an equity risk premium for Ennsvalley.

Ennsvalley being an unlisted company in a frontier market, we would ascribe a higher than average equity risk premium and cost of equity. Therefore, we used an equity risk premium of 7.0% and as a result, a cost of equity of 18.0%.

Terminal Value

The Terminal Value was determined by applying a perpetual growth formula, based on the growth factor of 7.0%, to the normalized levered free cash flows in the final year of the explicit forecast period.

Results of DCF Valuation

Using Kestrel Capital's adjusted and levered forecasted free cash flows for the Company and applying the estimated cost of equity, the DCF valuation implies a fair value of KES 495,583,060 for 100% of the ordinary share capital of Ennsvalley.

3.2 Comparable Company Market Valuation Multiples

The comparable company market valuation multiples method estimates the value of a company based on the comparison of operating metrics and valuation multiples for publicly listed peer companies to those of Ennsvalley. These multiples are then applied to the same financial indicators of Ennsvalley so that a value for the company is determined. Kestrel Capital used the current valuations of the comparable companies to calculate the selected multiples. Kestrel Capital applied the multiples to the trailing earnings and book value of the Company.

Kestrel Capital evaluated the fair value of Ennsvalley using the price to earnings ("P/E") and price to book ("P/B") multiples, which are the most common valuation metrics.

Choosing Comparable Companies for Ennsvalley

Kestrel Capital ranked listed, comparable companies according to their similarity to Ennsvalley, including business line, market capitalization and markets of operation. Kestrel Capital compared Ennsvalley to a peer group of listed bakeries in Emerging and Frontier markets.

Results of Comparable Companies Valuation

Method	Fair value for 100% of the issued share capital (KES)
P/E	598,592,004
P/B	458,393,804
Average of Comparable Companies Valuation Multiples	528,492,904

(Source for Comparable Companies Valuation Multiples: Bloomberg LLP)

3.3 Net Asset Valuation

Net Asset Value ("NAV") can be used as an effective "floor price", below which a reasonably profitable company would likely not be valued or sold. Ennsvalley's Net Asset Value on the balance sheet as at 31st March 2014 was KES 119,928,009.

3.4 Summary of Valuations

Method	Fair value for 100% of the issued share capital (KES)
DCF	495,583,060
Average of Comparable Companies Valuation Multiples	528,492,904
NAV	119,928,009

In determining the fair value, we consider the DCF and the Comparable Companies Valuation Multiples methodologies to be the most appropriate estimates. Kestrel Capital calculated the NAV to derive an effective “floor price”, below which a reasonably profitable company would likely not be valued or sold.

3.5 Principal Difficulties and Limitations of Valuations

The principal difficulties encountered in the valuation process and the limitations of the valuations performed in this case are summarized below,

1. Valuation methods: the valuations performed reflect the limitations and particularities of each of the various valuation methods used.
2. Use of forecast data: Forecast data by its very nature contains elements of uncertainty and potential discrepancies.

4. Conclusion

Based on the underlying valuation analyses in this Circular, Kestrel Capital estimates the fair value of 100% of the issued share capital of Ennsvalley to be in the range of KES 495,583,060 to KES 528,492,904, as at 31st March 2014.

31st October 2014



Andre DeSimone
Executive Director
Kestrel Capital



Vidur Dhingra
Corporate Finance and Advisory
Kestrel Capital

5. Appendix

5.1 List of Abbreviations/Terms

Unga Group	Unga Group Limited
Unga Holdings	Unga Holdings Limited
Ennsvalley or Company	Ennsvalley Bakery Limited
Kestrel Capital	Kestrel Capital (E.A.) Limited
Circular	Independent Advisors Circular
KES or KShs	Kenya Shillings
Acquisition	The proposed offer in which Unga Holdings intends to acquire 52.0% of the issued share capital, by way of subscription for new shares, of Ennsvalley Bakery Limited
Board of Directors	The people named as the Directors of Unga Group
NSE	Nairobi Securities Exchange
CMA	Capital Markets Authority of Kenya
DCF	Discounted Cash Flow
P/B	Price to Book
P/E	Price to Earnings
NAV	Net Asset Value
Terminal value	Company equity value at the end of the forecast period

5.2 Disclosures

Information and statements required in an Independent Advisor's Circular

Disclosure of interests held by Kestrel Capital and its employees in Unga Group, Unga Holdings or Ennsvalley

Kestrel Capital or any of its employees do not hold any direct or indirect interest in Ennsvalley. Kestrel Capital or any of its employees do not hold any direct interest in Unga Holdings. Please find the ownership interests held in Unga Group (a NSE listed company) below,

Name of Person	Relation to Kestrel Capital	Type of interest	Number of shares in Unga Group	% of total issued share capital
Vidur Dhingra	Employee	Direct	600	0.000793%
Andre DeSimone	Employee	Indirect	88,800	0.117294%

As at 31st October 2014

Kestrel Capital is eligible to act as an independent advisor under Regulation 11 of the Capital Markets (Take-Overs and Mergers) Regulations, 2002.

Intentions regarding the continuation of the business

Unga Holdings intends to acquire 52.0% of the issued share capital by way of subscription for new shares of Ennsvalley and has no present intention of disposing of them and intends to continue carrying on the business of Ennsvalley which will be operated as a subsidiary of Unga Holdings. There is no agreement or arrangement by which any of the shares intended to be acquired by Unga Holdings pursuant to the Acquisition would be transferred to any other person, except where required by the laws of Kenya.

Intentions regarding any major changes to be introduced in the business

Unga Holdings intends to continue carrying on the business of Ennsvalley as a bakery. The Board of Directors of Ennsvalley shall be constituted as specified in the Shareholders Agreement. No significant changes to the management and/or employees of Ennsvalley is expected to be made as a direct result of the Acquisition.

Unga Holdings has no plans to introduce major changes in the business of Ennsvalley arising directly from the Acquisition. Unga Holdings has no plans to liquidate Ennsvalley, sell its assets or re-deploy its assets. However, the future development of Ennsvalley's business will be determined by the management and Board of Ennsvalley.

Unga Holdings has disclosed that it will also contribute to funds required for expansion via shareholder loans, in proportion to its shareholding in the Company.

Long-term commercial justifications for the proposed take-over offer

Unga Group's strategic plan calls for a shift in focus from milling through food and feed eventually to nutrition. In order for Unga Group to maximize its operating margins in an increasingly more competitive grain milling sector, it is necessary for it to produce, distribute and market value-added products based on the quality wheat flour and maize meal it produces.

Ennsvalley produces a range of high quality, branded products with excellent customer recognition and acceptance in the rapidly growing modern trade (supermarket) segment. Additionally, it manages a number of branded in-store bakeries; in-store bakeries have been identified as a growth opportunity and one in which with the appropriate investment Ennsvalley is well positioned to grow.

The acquisition of Ennsvalley will provide the financial and human resources required to enable rapid growth within Kenya and investment in Uganda and Tanzania. Unga Group's flour sales will increase commensurate with this growth, both from sales to Ennsvalley and, more importantly, through the opportunity to leverage Unga Group's brands with the Ennsvalley brand in the modern trade channel through joint promotion and servicing programs. Additionally, Ennsvalley's value-added contribution to Unga Group will improve the overall margins realized from the wheat flour segment.

Unga Group considers that the Acquisition will contribute positively towards achieving its objectives of sustained revenue and profit through expansion of its value-added product footprint and improved presence in the growing and strategically important modern trade distribution channel.

Intentions regarding the continued employment of employees

The Board of Directors will be constituted as specified in the Shareholders Agreement. No significant changes to management and employees of Ennsvalley are expected to be made as a direct result of the Acquisition.

Reasonableness of the take-over offer

Based on the underlying valuation analyses in this Circular, Kestrel Capital considers Ennsvalley's fair value in a range of KES 495,583,060 to KES 528,492,904 for 100% of the issued share capital of Ennsvalley, as at 31st March 2014.

This Circular does not contain any profit forecasts.

Outlook on the Industry and Prospects of Ennsvalley

Our outlook on the industry for the next 12 months is,

1. A rise in industry demand on the back of rising consumer incomes
2. Expansion of distribution channels and retail outlets will increase access to more consumers
3. Lower/more stable interest rate environment may result in lower financing costs for the industry.

We believe the following factors will affect the financial performance of the Company over the next 12 months,

Strengths

1. Experienced management team
2. Wide range of high quality products
3. Increased investment in plant and machinery will augment production capacity

Opportunities

1. Leveraging the strong brand value through development of new products
2. Expansion via development of existing product segments and increasing distribution channels

Weaknesses

1. Limited geographical coverage
2. Lack of adoption of new technologies

Threats

1. Level of competition in the industry
2. Dependence on key customers
3. Exposure to commodity prices

Information regarding the holdings of any voting shares or convertible securities

Ennsvalley does not hold directly or indirectly, any voting shares or convertible securities in Unga Holdings or Unga Group.

Victus Limited owns approximately 50.93% of the share capital of Unga Group. Victus has confirmed its intention to vote in favor of the resolutions to be proposed at the shareholder meeting.

Mr. Andrew Ndegwa is a director of both NAS Holdings and Unga Group and is an indirect shareholder in both companies. He has declared his interest in the proposed transaction and has not voted as a Director with regard to the proposed Acquisition.

Mr. Alan McKittrick is a director of NAS Holdings, Ennsvalley and Unga Group, and holds shares in Unga Group. He has declared his interest in the proposed transaction and has not voted as a Director with regard to the proposed Acquisition.

Information regarding any other interest held by the Directors of Ennsvalley

Unless otherwise specified in this document, the Directors of Ennsvalley have no other interest in Unga Group, Unga Holdings or Ennsvalley.

Information regarding dealings of voting shares

Ennsvalley is an unlisted, privately owned company. Ennsvalley is currently 100% owned by NAS Holdings Limited. There has been no change in the shareholding structure of Ennsvalley during the period commencing six months prior to the

beginning of the Acquisition and ending with the latest practicable date prior to the date of the Shareholders Agreement.

Information regarding the service contracts of directors with Ennsvalley

With respect to the appointment of directors, there are no service agreements between Unga Group or Unga Holdings and any director of Ennsvalley. There have been no new service contracts or amendments within six months of the date of the Shareholders Agreement.

The board of directors of Ennsvalley will be constituted as specified in the Shareholders Agreement.

Call Option

At any time prior to 31st December 2015, Unga Holdings may, by notice in writing to NAS Holdings require NAS Holdings to sell shares held by NAS Holdings, up to a maximum of 18.0% of the total shareholding of the Company, for the price specified in the Shareholders Agreement.

